Unit I
Accounting (1)

Whereas the French accounting was initially geared to administrative and fiscal requirements, Anglo-Saxon accounting, especially in the U.S., aims mainly at informing shareholders and investors about the economic situation of the firm.

Another difference is that there does not exit in Britain or the U.S. a detailed "accounting plan" similar to the French one. This, however, should not be constructed as evidence that the Anglo-Saxon accounting is less precise and strict than French accounting itself.

The prevailing norms and rules edicted by official bodies or the profession **(Institute of Chartered Accountants** in Britain; **American Institute of certified Public Accountants** in the U.S.) are quite as stringent, and the practice of auditors quite as formal and reliable.
All accounts and financial statements should be presented in conformity with Generally Accepted Accounting Principles (GAAP), which are as follows.

- **Going concern** (*continuarea exploatării*):

The basic assumption that the concern has no intention or obligation to liquidate or curtail operations.

- **True and fair view, or air presentation** (*fidelitatea conturilor sau corectitudinea conturilor; imagine fidelă*):

The word *"fair*" goes beyond the simple notion of accuracy, since accounts may be accurate while concealing some facts or failing to disclose some aspects of a firm's economic and financial position.

- **Prudence** (*prudență*):

Caution and circumspection, so that there should not be any extrapolation, or over – or under – estimation of results.
In particular, only profits realized at the date of financial statements should be included, and losses which have arisen, or are likely to arise in respect of the financial year concerned, should be mentioned.

- **Consistency** (*principiul consecvenței*; *principiul permanenței metodelor*):

This implies that similar operations should be dealt with in the same manner (consistency) from fiscal year to fiscal year.

- **Matching principle** (*principiul armonizării costurilor şi veniturilor din aceeaşi perioadă*):

Charges and revenues must be correctly matched with the accounting periods to which they belong.

- **Historical cost** (*costul istoric*): Recording assets in the books at their initial cost, at the time of acquisition, as opposed to replacement cost.
- **Accruals basis** (*principiul de anualitate*; *contabilitatea bazată pe angajamente*):

This means taking into account income and expenses when earned and incurred (commitments) regardless of cash is actually received or disbursed.

- **Materiality (***importanță relativă***)**

An item should be regarded as material if there is reason to believe that knowledge of it would influence the decision of an informed investor.

In the event of any departure from the above principles, the reasons for it and its effects on the accounts must be set out clearly in the notes to the financial statement (there are often numerous notes to a balance sheet).

Today, given the multiplication of international operations, mergers, takeovers and consolidations involving companies of different nationalities – and the interlocking structure of multinationals- there is a strong movement towards the homogenization of accounting practices, and the profession is active in promoting this trend through its international norm- and standard – setting institutes.

The European Union is also issuing directives for the harmonization of Company Law.

Vocabulary Practice I

Accounts, accounting, accountancy (*conturi, contabilitate*) - The three words may sometimes be synonymous (Accounts Department, Accounting Department, Accountancy Department) but, of course, accounts corresponds to the statements or book entries themselves, accounting to the methods and procedures and accountancy to the profession itself.

Other accounting terms

Assets (*activ, e*) - Is used in the plural to denote the assets (*activele*), in a balance sheet, in the singular to denote one specific item (*un activ*).

Bookkeeper (*funcționar contabil*) - Clerk in charge recording business transactions and entering them in the accounts books, but nor a chartered or certified public accountant.

Bottom line *(linia de rezultat net)* - The last line of an income statement, that indicates the net results (profit or loss) of the firm. In ordinary parlance, it has come to mean the end result, the last word on something.

Break-even point *(prag de rentabilitate)* - The break-even point is the point at which the margin from the sales is sufficient to cover a firm's expenses without either profit or loss.

Cashflow *(flux de numerar)* - This term used in capital budgeting represents the cash coming in less cash going out during a given period.

- **Pre-tax cashflow** is the sum of pre-tax profits (profits before tax) and depreciation allowances plus certain reserves.
- **Net cashflow** is the sum of after-profit and depreciation allowances plus certain reserves.

Earnings report: income statement *(declarație de venituri)* - The British still use the phrase **Profit and Loss accounts** (P&L).

Fixed cost/expenses … variable costs/expenses *(costuri fixe ... costuri variabile)*

Gross profit (or Gross margin or margin) *(profit brut, marjă brută)*

Net profit or income *(profit net)*